

THE FREELANCER TAX & MONEY PLAYBOOK

Digital Edition

The complete money system for Indian freelancers — income tax, GST and exports, advance tax, TDS, international payments and getting paid on time. Every rule verified for FY 2026-27.

Rs. 44ADA presumptive taxation — the 50% rule decoded

GST registration, LUT and zero-rated exports, step by step

Advance tax, TDS under 194J, ITR-4 vs ITR-3

Purpose codes, e-FIRA and choosing the cheapest payment channel

The Udyam 45-day lever that makes clients pay you on time

30 pages · 30 chapters · 9 parts · worked examples throughout

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PART 1

Your Money System

Before tax law, before GST, a freelancer needs plumbing: accounts that separate business from personal, and a bucket that makes every deadline boring instead of painful.

CHAPTER 1

Two accounts and the 30% tax bucket

Nobody deducts tax for you. That single fact explains most freelancer money problems: money arrives in full, gets spent in full, and March arrives with a tax bill there is no cash to pay. The fix costs nothing and takes one afternoon.

Open a second savings account — any bank, zero balance is fine — and call it your tax account. Every time a client payment lands, move 30% of it to the tax account the same day. Not at month end, not when you feel rich: the same day. If your effective tax plus GST load is lighter, the surplus is a bonus; if it is heavier, the shortfall is small enough to absorb.

Why 30%? For a freelancer earning between roughly Rs. 12 lakh and Rs. 20 lakh a year under the new regime, income tax runs about 15-25% of taxable income, and presumptive taxation (Chapter 5) taxes only half your receipts — so 30% of every payment comfortably covers tax for most readers, with margin for those also registered for GST.

The one habit that matters

Move 30% of every client payment to a separate tax account on the day it arrives. Pay advance tax and GST only from that account. You will never face a filing-season shortfall again.

Keep business money out of your main account for a second reason: every bank statement of the business account becomes your primary book of accounts. If personal UPI payments, movie tickets and grocery runs are mixed in, reconstructing income at filing time takes days. Separated, it takes an hour. The Income-tax Department already receives data on foreign inward remittances and large credits; your Annual Information Statement (AIS) shows the department much of what you earn. Your books should agree with it without effort.

One more piece of plumbing: give every client a GSTIN-less but complete invoice from a numbered series (Chapter 2), and save every e-FIRA and payment receipt into one folder per financial year, named by month. When you need proof — for a GST refund, an ITR notice, or a bank — you will have it in seconds.

CHAPTER 2

Invoicing like a professional

Most Indian freelancers send a PDF on WhatsApp and hope. That works until a corporate client asks for a GSTIN and SAC code, or Rs. 15,000 quietly disappears as TDS. A proper invoice prevents both.

Every invoice you raise must carry a fixed set of elements. Under GST rules a tax invoice needs: your name, address and GSTIN (if registered); a consecutive serial number and date; the client's name, address and GSTIN; a description of the service with its SAC code; the taxable value; the GST rate and amount (CGST + SGST or IGST); the place of supply; and your signature. If you are not GST-registered, skip the GST fields — but keep the numbering, dates, descriptions and terms.

- **Serial numbers, no gaps.** A broken series is the first thing any auditor or GST officer notices. Start at 001 and never reuse a number.
- **A due date, not a vibe.** “Payment due within 15 days of invoice date” is weak; “Payment due by 15 July 2026” gets paid.
- **Late-payment interest.** To registered business clients you can charge interest when they delay (Chapter 23 gives you a much stronger lever).
- **SAC codes.** Most freelancer services fall under heading 9983/9984 of the SAC list — technical, design, software and business services at 18%. Your invoice should name the code; your client's accounts team will love you for it.
- **GST shown separately.** When a client deducts TDS, they deduct it on the value excluding GST — but only if GST is shown separately on the invoice. If it is clubbed into one figure, you overpay TDS and chase a refund.

For invoices to clients outside India, three more things are mandatory: the currency, the conversion to rupees at the RBI reference rate of the invoice date, and the export line “Supply meant for export under LUT without payment of IGST” once you are registered and have filed your LUT. Chapter 17 walks through the full export invoice with a worked example.

Contract first, invoice second

Before the first invoice, get a one-page agreement: scope, revisions allowed, fee, payment terms, who owns the work, and a kill-fee. A signed page turns “the client ghosted me” from a total loss into an enforceable claim.

PART 2

Income Tax for Freelancers

Freelance income is business income — taxed under profits and gains of business or profession.

That single classification drives every rule in this part: the slabs, the presumptive scheme, the advance tax calendar and the ITR form you file.

CHAPTER 3

Freelance income is business income

The Income-tax Act taxes your freelance earnings under “profits and gains of business or profession” (PGBP), not under salary. Three consequences follow, and each chapter of this book flows from one of them.

- 1 No employer deducts tax for you month by month — so you owe advance tax through the year (Part 3).
- 2 When clients do deduct tax, they do it under Section 194J on professional or technical fees — and you must reconcile that credit (Part 4).
- 3 You may qualify for the presumptive scheme under Section 44ADA — declare half your receipts as income, keep no books, face no audit, file a one-page ITR (Chapters 5 and 24).

Income means gross receipts, not what lands in your bank. If a platform deducts 20% before paying you, your gross receipts are the full invoice value, not the net credited — this matters for the Rs. 50 lakh and Rs. 75 lakh thresholds of Chapter 5 and for the Rs. 20 lakh GST threshold of Chapter 13.

And file even when it feels optional. The department receives data on foreign inward remittances from banks, and your AIS captures them. Foreign clients deduct no TDS, so many freelancers assume the income is invisible. It is not: earning internationally and not reporting is, today, a matter of when a notice arrives, not if.

CHAPTER 4

New regime vs old regime for FY 2026-27

Budget 2026 (1 February 2026) left both regimes unchanged for FY 2026-27, so the slabs introduced in 2025 continue. The new regime is the default; you stay on it unless you actively opt out.

New regime slabs (FY 2026-27, all individual taxpayers, no senior-citizen variation):

Total income (Rs.)	Rate
Up to 4,00,000	Nil
4,00,001 – 8,00,000	5%
8,00,001 – 12,00,000	10%
12,00,001 – 16,00,000	15%
16,00,001 – 20,00,000	20%
20,00,001 – 24,00,000	25%
Above 24,00,000	30%

A resident individual pays zero tax on total income up to Rs. 12 lakh, because the Section 87A rebate (up to Rs. 60,000) wipes out the tax on the first Rs. 12 lakh. Old regime slabs stay at 2.5 / 5 / 10 lakh, with basic exemption of Rs. 3 lakh for senior citizens and Rs. 5 lakh for super senior citizens.

The new regime keeps business deductions under Sections 28 to 44 intact — laptop depreciation, internet, software subscriptions, rent for your workspace all remain claimable if you compute actual income instead of presumptive. What the new regime removes are the personal deductions: 80C, 80D, HRA, home-loan interest. Unless your old-regime deductions are large, the wider slabs win, which is why roughly all new filers now default here.

Switching rules bite freelancers specifically: if you have business or professional income and opt out of the new regime using Form 10-IEA, you can go back to the new regime only once in your lifetime. Choose deliberately, before the ITR due date — the form must be filed before it.

Two add-ons sit on top of the slabs: health and education cess of 4% on the tax, and surcharge of 10% above Rs. 50 lakh income, 15% above Rs. 1 crore, 25% above Rs. 2 crore (the new regime caps surcharge at 25% even above Rs. 5 crore, where the old regime charges 37%).

CHAPTER 5

Section 44ADA: the 50% rule

Section 44ADA is the closest thing Indian tax law has to a freelancer cheat code: declare 50% of your gross receipts as income, keep no books of account, face no audit, and file a one-page return. The other 50% is deemed to cover all your expenses.

Who qualifies. You must be a resident individual (or partnership firm, but not an LLP), engaged in a “specified profession”: legal, medical, engineering, architectural, accountancy, technical consultancy, or interior decoration — plus the professions notified later: film artists, company secretaries, authorised representatives, and information technology professionals. That last one, added by notification in 2008, is why most software developers, and most technical freelancers who qualify as technical consultants, sit inside 44ADA.

The limits. Gross receipts up to Rs. 50 lakh qualify by default. The limit rises to Rs. 75 lakh if cash receipts are 5% or less of total receipts — which, for anyone paid by bank transfer, UPI or foreign platforms, is automatic. Cross the applicable limit and you fall out of the scheme for that year: regular computation, books under Section 44AA, and audit under 44AB where its own thresholds are met.

Worked example — Rs. 18 lakh of receipts

You bill Rs. 18,00,000 this year, all received digitally, as a technical consultant. Presumptive income = 50% = Rs. 9,00,000. New-regime tax: 5% on the Rs. 4-8 lakh slice = Rs. 20,000, 10% on the Rs. 8-9 lakh slice = Rs. 10,000; total Rs. 30,000 plus 4% cess = Rs. 31,200. No books, no audit, ITR-4, and — if no TDS was deducted — one advance-tax instalment of Rs. 31,200 by 15 March 2027.

Two rules keep the scheme honest. First, you may declare more than 50% (say 56%, if your real margin is higher) but never less — declare lower and you must keep full books and get them audited if your income exceeds the basic exemption. Second, the 50% presumption is final for expenses: no separate deduction for rent, depreciation or subscriptions on top of it. Chapter VI-A deductions like 80C are still available — but only if you opt for the old regime, since the new regime drops them.

A quiet trap: the 95%-digital test for the Rs. 75 lakh limit is judged on actuals at scrutiny. If you claim the higher limit, keep monthly bank reconciliations showing cash receipts stayed under 5%.

CHAPTER 6

Your tax at five receipt levels

The presumptive scheme makes your tax bill a one-line calculation: half the receipts, then the slabs from Chapter 4. Here is that line worked out at five receipt levels — a 44ADA freelancer, payments all digital (so the Rs. 75 lakh limit applies), new regime, no other income, no TDS.

Gross receipts (Rs.)	Presumptive income (50%)	Tax + 4% cess (Rs.)	Effective rate on receipts
6,00,000	3,00,000	Nil	0%
10,00,000	5,00,000	5,200	0.5%
18,00,000	9,00,000	31,200	1.7%
30,00,000	15,00,000	1,09,200	3.6%
60,00,000	30,00,000	4,99,200	8.3%

How to read the middle row: Rs. 18 lakh of receipts, Rs. 9 lakh of income, and the Rs. 30,000 of slab tax (5% on the Rs. 4-8 lakh slice plus 10% on the Rs. 8-9 lakh slice) becomes Rs. 31,200 after cess. The top row sits tax-free because Rs. 3 lakh of income is below the Rs. 4 lakh basic exemption — such a freelancer owes no advance tax either, since the Rs. 10,000 trigger is never met.

Three honest caveats on the table. TDS deducted by Indian clients counts as tax already paid, so your March instalment drops accordingly. Old-regime deductions could change the comparison only if you have large 80C/80D-style commitments — run Form 10-IEA thinking through Chapter 4 first. And receipts above Rs. 20 lakh put you into the GST system regardless (Chapter 13), which is a compliance calendar, not an extra cost, for exporters under LUT — but domestic-client freelancers at that level do start charging 18% on top.

What the table really shows is the deal at the heart of presumptive taxation: at every level below Rs. 60 lakh of receipts, your effective tax is a single-digit percentage of what clients paid you. The system's real cost is not the tax — it is the deadlines, and those are all in Part 3 and Part 5.

CHAPTER 7

If your profession is not on the list

The specified-profession list was written in 1994 and updated reluctantly. Pure graphic designers, content writers, translators, video editors, social media managers, photographers and voice artists are generally not on it — and cannot use 44ADA. What happens instead matters, and the answer is not “tax disaster”, just paperwork.

If you are not in a specified profession, your freelance income is still business income, computed under Sections 28 to 44 with actual expenses deducted. Above the basic exemption limit you must maintain books under Section 44AA — a cash book, ledger, and bills — far lighter than it sounds if your business account is clean (Chapter 1). Section 44AD's presumptive scheme (6%/8% of turnover) does not help

either: it applies to businesses, not service professions, so it cannot substitute.

The audit question is decided by turnover and income: for professionals it applies once receipts cross the 44ADA limits while claiming to be in a specified profession, and for others through the general Section 44AB thresholds (Rs. 1 crore of turnover, Rs. 10 crore where receipts and payments are digital). A freelancer under Rs. 75 lakh of receipts, declaring honestly, is very far from audit.

The practical takeaway: if your work is technical or IT-adjacent, claim 44ADA confidently. If it is purely creative or editorial, budget a little bookkeeping — or a CA at filing time — and claim real expenses. Many freelancers sit in between (a designer who also builds websites, a writer who codes tutorials); classify by your predominant stream of receipts, and document the reasoning in a folder alongside your invoices.

CHAPTER 8

Expenses you can claim

If you compute actual income instead of presumptive, every expense wholly and exclusively for the business is deductible. The new regime did not touch these — only personal deductions went.

The expenses freelancers most often miss:

Expense	What to keep
Laptop, phone, camera and other equipment	Invoice; claim depreciation over useful life, or 100% for items under the low-value practice your CA follows
Software subscriptions and SaaS	Monthly card/bank statement lines, annual receipts
Internet and phone bills	Bills; business-use proportion if the connection is shared
Co-working rent or home-office share	Rent receipts; for home offices, a reasonable area-based share
Payment gateway and platform fees	Payoneer/Wise/PayPal/Upwork fee statements — these are large for exporters
Professional fees — CA, lawyer, courses	Invoices in your name
Bank charges and FX conversion loss	Bank advice showing the rate applied
Travel to client sites	Tickets, boarding passes, hotel bills tied to an engagement

Two categories deserve respect. Payment-platform fees are an expense in full, but remember your gross receipts for the 44ADA/44AD and GST limits are the invoice value before those fees. And if you buy services from abroad (a foreign SaaS subscription, an overseas designer), and you are GST-registered, you generally owe GST on that import under reverse charge — meaning you self-pay it in GSTR-3B rather than the vendor charging it.

Expenses must be paid to count where Section 43B applies — some statutory dues are deductible only on actual payment. And since FY 2023-24, one specific rule (Section 43B(h)) defers your deduction for payments to registered micro and small vendors you leave unpaid past 45 days. As a freelancer buying services, this affects you as a buyer — Chapter 23 covers it from the other side, as a seller owed money.

PART 3

Advance Tax

Advance tax is the freelancer's payroll system: you are your own employer, and the law expects tax to arrive through the year in instalments — not as a March surprise.

CHAPTER 9

Four instalments — or one

If your tax liability for the year (after subtracting all TDS) is Rs. 10,000 or more, you must pay advance tax. Resident senior citizens (60+) with no business or professional income are the only exemption — and freelance income is professional income, so most senior freelancers still owe it.

The default calendar, four cumulative instalments:

Due date	Cumulative tax payable	Tolerance (no interest if you paid at least)
15 June	15%	12%
15 September	45%	36%
15 December	75%	75% (no tolerance)
15 March	100%	100%

The tolerances on the first two dates exist because June is early to know your income; 12% and 36% buy real forgiveness. December and March get none.

The presumptive shortcut

If you declare income under Section 44AD or 44ADA, three of the four dates disappear. The entire year's advance tax is due in ONE instalment by 15 March. No June, September or December payment, and no interest for skipping them. For a 44ADA freelancer with no TDS, the advance-tax year is a single calendar reminder.

Why the shortcut matters psychologically: presumptive filers know their taxable income as a formula (half the receipts so far, slabs, cess) — no estimation problem to solve quarterly. If TDS from clients already covers your liability, nothing is due in advance at all, because the trigger is tax remaining after TDS crossing Rs. 10,000.

To pay: log in to the e-Pay Tax portal on incometax.gov.in, generate a challan (CRN) under the relevant minor head for advance tax, pay by net banking/UPI, and file the receipt in your FY folder. One portal detail worth knowing: a CRN generated on or after 16 March is valid only until 31 March — so if you slip past 15

March, pay before month end without fail.

CHAPTER 10

What missing a date costs

Two interest sections police advance tax, and they stack. The new Income-tax Act, 2025 renumbered them (234B to 424, 234C to 425) but the economics are identical.

Section (old / new)	Triggered when	Rate	Runs for
234B / 424	Advance tax paid is less than 90% of assessed tax	1% per month, simple	1 April of the assessment year until you pay
234C / 425	An instalment is short of its cumulative target	1% per month on the shortfall	3 months per instalment (1 month for March)

Twelve per cent a year on both — comfortably above what idle bank money earns you — so deferring advance tax to earn interest elsewhere never pays.

Worked example — the missed 15 March

Tax for the year: Rs. 1,09,200, no TDS. You pay nothing by 15 March 2027, then pay on 25 March. Section 425/234C charges 1% once on the shortfall: Rs. 1,092. Because anything paid by 31 March still counts as advance tax, nothing further accrues. Had you instead paid with the return on 31 July, interest would be the Rs. 1,092 plus 234B/424 at 1% for four months on the full amount — Rs. 4,368 more.

A three-line summary of the whole part: if you are on 44ADA, diarise 10 March, estimate, pay by 15 March, done. If you compute actual income, pay 15% by June even as a rough number — the tolerance bands make small errors free, and revising upward later in the year is exactly what the law expects.

PART 4

TDS

Clients deduct, the government holds, you reclaim. Done right, TDS is an interest-free deposit; done wrong, it is your own money sitting in someone else's account.

CHAPTER 11

Section 194J decoded

When a company, firm, LLP or tax-auditable business pays you professional or technical fees above the threshold, it must deduct tax before paying you and deposit it against your PAN. The section is 194J of the 1961 Act — Section 393 in the new 2025 Act's numbering; everyone still says 194J.

Payment type	TDS rate	Annual threshold (per client, per category)
Professional fees (legal, medical, engineering, architectural, accountancy, technical consultancy, interior decoration)	10%	Rs. 50,000
Technical services, call centre, software-licence royalty	2%	Rs. 50,000
Commission or brokerage (Section 194H)	2%	Rs. 20,000
No PAN furnished (Section 206AA)	20%	—

The Rs. 50,000 threshold rose from Rs. 30,000 by the Finance Act 2025, effective 1 April 2025 — older articles still quote the wrong number. Two details keep money in your pocket: the threshold is tested per category and per client per year, and once crossed, TDS applies to the whole amount, not only the excess. Foreign clients and foreign platforms deduct nothing — which converts the problem from TDS to advance tax (Part 3).

Mechanically: the client deposits TDS by the 7th of the following month (April for March deductions), files Form 26Q quarterly, and issues you Form 16A within about two weeks of each quarter's filing. The deduction happens on the value excluding GST when GST is shown separately on your invoice — one more reason for Chapter 2's invoice discipline.

CHAPTER 12**Getting your TDS back**

TDS is a prepayment, not a penalty. At filing, it is credited against your final tax; excess becomes a refund, paid into your bank account after the return is processed. The failure mode is unclaimed credit — small freelancers who never file and simply forfeit money that was already theirs.

Your reconciliation routine, once a quarter:

- 1 Download Form 26AS and your AIS from incometax.gov.in.
- 2 Check every TDS entry against your invoices for the quarter — amount, deductor PAN, section code.
- 3 Email any client whose deduction is missing or understated, attaching the invoice; ask them to correct it in the next 26Q revision.
- 4 File Form 16A certificates in your FY folder as they arrive.

Mismatch discipline matters more every year: the return you file is processed against 26AS and AIS automatically, and an entry claimed but not reported by a client will first be disallowed, then demand interest while you chase the correction. A mismatch a client reported but you forgot is the opposite — tax you paid twice, waiting for you to claim it.

If total TDS exceeds your liability, the refund follows the return; there is nothing to apply for separately. Keep one document bulletproof to make refunds fast: a bank account validated for refund, visible in your e-filing profile.

PART 5

GST

The good news inside GST for freelancers is the largest one: services exported out of India are zero-rated — 0% GST on the invoice, and you can still reclaim the GST you paid on your laptop and software. The bad news is that zero-rated is a status you must set up correctly, or it quietly becomes 18% out of your own pocket.

CHAPTER 13

When GST registration becomes compulsory

Registration turns compulsory once your aggregate turnover crosses Rs. 20 lakh in a financial year — Rs. 10 lakh in special-category states such as Manipur, Mizoram, Nagaland and Tripura. Services to clients in other Indian states do not by themselves force registration below the threshold, thanks to the service-provider relaxation under the IGST rules.

The number that trips people: aggregate turnover includes everything — domestic fees, export receipts, and platform earnings, gross of platform fees (Chapter 21). A freelancer with Rs. 9 lakh of Indian clients and Rs. 15 lakh of foreign clients has Rs. 24 lakh of aggregate turnover and must register, even though every rupee of the foreign work is zero-rated.

Below the threshold, registration is optional — and for freelancers with foreign clients, it is often still worth taking, voluntarily, for three reasons:

- You cannot file an LUT without being registered — and without an LUT, your exports either carry 18% IGST (which foreign clients will not pay) or fall into the pay-then-refund grind.
- Registration brings input tax credit: the GST you paid on laptop, software subscriptions, internet and co-working rent comes back to you as a refund when your supplies are zero-rated.
- Many US and UK clients' accounting teams ask for a GSTIN on invoices; its absence is a collection risk, not a formality.

The compliance price of registering is real — returns due even in zero-tax months (Chapter 18). For most exporters above roughly Rs. 10 lakh of receipts, the ITC refund plus clean zero-rating is worth the filing calendar; below that, many freelancers rationally wait. Decide with your receipts, not with fear.

CHAPTER 14

Registering for GST: the practical walkthrough

Registration is one online form — GST REG-01 — and, with Aadhaar authentication, usually no physical verification visit. Set aside an hour the first time; no renewal is ever needed, because one GSTIN follows your PAN for life.

Documents to keep open before you start:

- PAN and Aadhaar (both linked).
- Proof of your principal place of business — electricity bill, or rent agreement plus the landlord's bill, or a no-objection letter where it is your home.
- Bank account proof — a cancelled cheque or the first page of a statement of the business account from Chapter 1.
- A passport-size photograph, plus the email and mobile your OTPs will go to.

- 1 Go to gst.gov.in, open Services, Registration, New Registration.
- 2 Choose the taxpayer type (individual/sole proprietor as legal status) and your state; the portal issues a Temporary Reference Number and sends OTPs to your email and phone.
- 3 Fill Part B of REG-01: business name and address, the SAC codes for your services (the 9983-series covers most technical and software work — your Chapter 2 invoice already names it), bank account details, and places of business.
- 4 Complete Aadhaar authentication — this is what waives the physical site visit and speeds the certificate.
- 5 Sign and submit with EVC (the OTP route) — a digital signature is not required for individuals — and note the Application Reference Number (ARN) issued.
- 6 The certificate (GST REG-06) with your 15-digit GSTIN typically arrives within about a week after verification, on the portal and by SMS.

Week one with your GSTIN, four jobs in order: put the GSTIN on your invoice template; file the LUT before your first export invoice of the year (Chapter 16); consider the QRMP scheme for quarterly filing (Chapter 18); and diarise the return dates from Chapter 28's calendar.

Register for a reason, not “just in case”

You crossed the Rs. 20 lakh threshold, or you want the LUT and input tax credit as an exporter, or a big client requires a GSTIN. Absent one of these, a registration you do not use still creates a filing obligation with late fees for missing it. If you cross Rs. 20 lakh mid-year, register within 30 days of crossing — liability runs from the date you crossed, not the date you got around to it.

CHAPTER 15

Export of services: the five conditions

A service is an export — zero-rated under Section 16 of the IGST Act — only if every one of five conditions in Section 2(6) is satisfied:

- 1 The supplier (you) is located in India.
- 2 The recipient is located outside India.

- 3 The place of supply is outside India — true for most technical and professional services delivered remotely.
- 4 The payment is received in convertible foreign exchange, or in rupees through an RBI-permitted arrangement.
- 5 You and the client are not merely establishments of the same person.

Condition 4 has the classic failure: a foreign company that pays from its Indian subsidiary in rupees to your Indian account. That is not an export — it is an ordinary domestic supply, 18% applies, and if you invoiced it as zero-rated you have under-collected tax that is still payable out of your pocket. Being paid in rupees by a foreign client through permitted channels does not automatically kill the export treatment, but the route matters; keep the bank documentation that shows the source of funds.

Zero-rated is not the same as exempt — a distinction worth memorising. Exempt supplies block input tax credit; zero-rated supplies preserve it. Your export income costs you 0% GST on the invoice while the GST on your business expenses comes back as a refund. That asymmetry is the single best deal in Indian indirect tax, and it exists specifically for exporters like you.

The trap to tattoo on your brain

“The client is outside India and pays in dollars” is not a GST position. Export status requires a valid LUT filed BEFORE the invoice, documented foreign remittance proof, and all five conditions. Most GST notices to freelancers exist because one of those three was missing.

CHAPTER 16

The LUT, step by step

The Letter of Undertaking is a declaration filed on the GST portal that lets a registered exporter raise zero-rated invoices without paying IGST upfront. File it once per financial year, before your first export invoice of that year — it is strictly prospective; an invoice raised before the LUT exists cannot be covered retroactively.

- 1 Log in to gst.gov.in with your GSTIN credentials.
- 2 Open Services, then User Services, then Furnish Letter of Undertaking (LUT).
- 3 Select the financial year (file fresh each April — the previous year's LUT does not carry over).
- 4 Choose “I wish to furnish LUT”, accept the declaration, and submit with your digital signature or EVC.
- 5 Download the acknowledgement ARN and store it in your FY folder — it is your proof if a refund is ever scrutinised.

Without an LUT, the law's alternative route is: charge 18% IGST on the export invoice, pay it, then claim a refund via RFD-01 — a process that routinely takes months and blocks your working capital. Almost every exporting freelancer chooses the LUT route instead. If you exported before filing one, that income is where refund delays and notices come from; talk to a CA about the correction path.

Remember the LUT's companions: the export invoice (Chapter 17) and the remittance proof (Chapter 20). LUT + proper invoice + e-FIRA together form the complete evidence set of zero-rating.

CHAPTER 17

The zero-rated export invoice

An export invoice under LUT looks almost like a domestic one, with five additions and one deletion. Here is a model for a USD invoice from a registered freelancer:

Field	What it says (example)
Your details	Name, address, GSTIN
Client details	Foreign company name, address, country
Invoice number / date	Consecutive series; e.g. 042, 12 October 2026
Description + SAC	"Mobile app development — SAC 998314"
Place of supply	United States (outside India)
Amount	USD 4,000
INR equivalent	At RBI reference rate of invoice date, e.g. Rs. 3,35,600
GST line	"Supply meant for export under LUT without payment of IGST"
Payment terms	"Net 15 — due by 27 October 2026"

The deletion: no GST amount — the invoice carries the LUT line instead. The rupee conversion uses the RBI (FBIL) reference rate of the invoice date for your GST return reporting, not the date money arrives. When payment lands weeks later at a different rate, the difference books as an exchange gain or loss — taxable, but no GST applies to that difference.

For AdSense, affiliate and platform income, the same logic applies monthly: YouTube and Google AdSense payouts are exports invoiced to a foreign entity, they count toward turnover, and once you are registered, an invoice is due even though the payout is automatic. Automate a monthly invoice; it is five minutes with a template.

CHAPTER 18

Returns, ITC and late fees

Zero tax does not mean zero filing. A registered freelancer files on, regardless of liability — non-filing attracts late fees even when the tax column is all zeroes.

Return	What it reports	Due
GSTR-1	Invoice-level outward supplies; exports go in the export table	11th of following month (monthly filers)
GSTR-3B	Summary and tax payment; zero under LUT	20th of following month
QRMP (GSTR-1 + 3B)	Quarterly return option for turnover up to Rs. 5 crore, with monthly Invoice Furnishing Facility by the 13th	Quarterly, with IFF monthly

QRMP is the right default for most freelancers under Rs. 5 crore: quarterly summary filings with an optional monthly invoice upload. Late fees for delayed GSTR-3B run at Rs. 50 a day (Rs. 25 CGST plus Rs. 25 SGST), capped at Rs. 5,000 per return — reduced to Rs. 20 a day, cap Rs. 2,000, for nil filings — plus 18% annual interest on any tax paid late. A calendar with three quarterly dates is the entire cost of staying clean.

Input tax credit works like this for exporters: the GST you pay on laptop, software, internet and co-working accumulates as credit because your outward supplies carry no tax to set it off against. You claim it back through the refund application (LUT route) or set it against your domestic-taxable supplies if you have any. The documentation spine is invoices in your name with your GSTIN — another reason to route business purchases through the business account and check that suppliers quote your GSTIN correctly.

PART 6

Getting Paid from Abroad

Your foreign client pays \$4,000; anywhere between \$3,700 and \$3,850 of it reaches you depending on the rail you chose. The difference is a decision you make in five minutes that repeats on every invoice for years.

CHAPTER 19

Choosing your payment channel

Fees and arrival times shift; verify against each provider's current pricing page before committing. The shape of the market, stable for years, looks like this:

Channel	Typical all-in cost	Speed	Notes
Direct SWIFT wire	\$20-50 fixed + 1-3% FX markup	2-5 days	Fine for large invoices (\$5,000+); banks charge both ends sometimes
Wise	About 0.5-1% total	1-2 days	Transparent mid-market rate; issues e-FIRA through its India partner
Payoneer	Roughly 1-3% depending on flow	Same/next day	Popular with marketplaces; FIRA available via partner bank
PayPal	About 4-6% total (fees + FX markup)	1-3 days	Last resort when the client insists; the most expensive default
India-first platforms (Skydo, Cashfree, RazorpayX)	Around 1-2% + fixed fee	1-2 days	Purpose-code tagging and automated e-FIRA in the dashboard
Upwork / Fiverr	Platform fee 10-20% off the top	Per platform schedule	The fee is your business expense; your gross receipts are the pre-fee invoice value

The compounding mistake is defaulting to PayPal because the client knows it. On a \$2,000 monthly invoice, 5% is \$1,200 a year — the price of this book, several hundred times over. Open a Wise or Payoneer account, and when a new client asks “how do we pay you?”, you answer with a rail that costs you 1% instead of 5%.

Two hygiene rules that save bigger amounts than fees. First, ask the client to send the wire as “our” — the OUR instruction — so intermediary bank deductions do not come out of your receipts. Second, request

e-FIRA from whatever rail you use, every time, into the FY folder; Chapter 20 explains why it is not optional paperwork.

CHAPTER 20

Purpose codes and e-FIRA

Every inward foreign payment is classified with an RBI purpose code — it tells the central bank why the money arrived, and your bank will ask for it before crediting. The code must describe the service you actually delivered, and it is stamped onto your remittance proof.

Code	Use it for
P0802	Software implementation, development, IT consultancy (the default for most developer freelancers)
P0803	Data base and data processing charges
P0804	Repair and maintenance of computer and software
P0806	Other information services
P1007	Marketing, PR and research-type mandates
P0811	Cross-border engineering services
P1401	Compensation of employees (salary-like payments; rarely right for freelancers)

The code that fits design, content and pure-consulting work varies by bank's internal mapping — P0806 or codes from the business-services group — so confirm with your bank that the code matches your invoice description. A mismatch flags the payment for manual review, which means delay and a document request. The rule that never fails: the invoice wording, the purpose code and the e-FIRA must tell the same story.

The e-FIRA (electronic Foreign Inward Remittance Advice) — or its older cousin, the FIRC — is the certificate proving a specific payment came from outside India. Authorised dealer banks issue it; the modern rails (Wise, Payoneer, Skydo, Cashfree) generate it in your dashboard. It is what evidences your export of services if a GST refund or income-tax assessment ever asks, and it is the clean fix for the “paid into a personal account with no foreign trail” problem: use a dedicated business account for remittances so the trail stays provable.

FEMA, the foreign-exchange rulebook, is satisfied by these two habits — right purpose code, banking-channel payments, saved remittance proof. Payments arriving through permitted channels (wire, Wise, Payoneer, PayPal) are FEMA-compliant routes; crypto settlement is not, and it is a genuine legal risk rather than a technicality.

CHAPTER 21

Currency, platform fees and gross receipts

Three accounting habits keep your foreign income correct and audit-proof. They take minutes a month and prevent the two most common export-side underreporting errors.

- 1 Record gross, not net. Your income is the full invoice value. If Upwork bills the client \$1,000, keeps its fee and pays you \$800, your gross receipts are \$1,000 (converted at the invoice-date rate) — the \$200 is your business expense with the fee statement as proof. This single rule protects both your 44ADA/44AD threshold math and your Rs. 20 lakh GST turnover test.
- 2 Book the rate difference. You invoice at the RBI rate of the invoice date; money lands at a different rate. The difference is exchange gain or loss — part of your taxable income, with no GST on it. Keep the bank advice showing the applied rate.

- 3** Reconcile monthly. Invoice → platform statement → bank credit → e-FIRA, four rows on a spreadsheet. Any missing link is fixable in a minute in-month and a nightmare in March.

One quiet relief worth knowing: the 2% equalisation levy that once applied to certain e-commerce transactions was withdrawn from 1 August 2024, so it no longer complicates platform income. If you see it mentioned in old guides, it is history.

For clients who insist on rupee payment from their Indian subsidiary, treat the income as domestic from day one: 18% IGST if you are registered (or within the invoice-value rules of Chapter 15's caution), TDS under 194J likely applies, and no e-FIRA will exist. The five-conditions test of Chapter 15 is the decider — run it every time a payment route looks unusual.

PART 7

Getting Paid on Time

Late payment is the freelancer's silent tax — bigger than GST, charged by clients instead of the government. Indian law hands you a lever most freelancers never learn to pull.

CHAPTER 22

Contracts and payment terms that stick

Payment problems are scoping problems wearing a disguise. Every late or disputed invoice traces back to ambiguity about what was delivered, when, and what happens if the client goes quiet. The fix is a one-page agreement, and no serious client resists one — busy accounts teams prefer it.

- **Milestone billing.** 30-50% upfront, balance on delivery, or split across milestones. Never 100% on completion for a new client.
- **Scope in numbers.** “Up to 3 concepts and 2 revision rounds” — anything beyond is a new invoice at a stated hourly rate.
- **Explicit payment window.** A date, not “net 15” optimism. Interest at a stated monthly rate on delays — 1.5% a month is common practice.
- **Ownership on payment.** Intellectual property transfers on full payment. This clause alone recovers a remarkable share of stalled invoices.
- **A named person.** Accounts payable contact, not just “the client” — invoicing a person gets replies; invoicing a brand gets silence.

On late payment of GST-registered B2B invoices, registered buyers owe interest at a punitive rate on tax they delayed claiming, and the entire chain stops when your invoice is not in their system. Being the supplier whose paperwork is always clean makes you the invoice that gets processed first.

CHAPTER 23

The Udyam lever: the 45-day rule

Since FY 2023-24, Section 43B(h) of the Income-tax Act forces every buyer — company, LLP, proprietorship, individual — to pay registered micro and small suppliers on time or lose the tax deduction on the purchase. The deadlines come from Section 15 of the MSMED Act: 15 days where there is no written agreement, or the agreed date capped at 45 days where there is one. Miss the window, and the buyer's expense is disallowed for that year — deductible only in the year they finally pay.

As a freelancer selling services, you are the micro enterprise. Register on udyamregistration.gov.in (free, PAN-and-Aadhaar based, minutes), and the clock starts working for you:

- 1 Your corporate clients' auditors now flag YOUR unpaid invoices as their tax problem. Finance teams clear Udyam-registered dues before year end (31 March) because their own deduction is at stake.
- 2 Companies with MSME dues beyond 45 days must also file half-yearly MSME-1 returns with the ministry — your invoice becomes visible paperwork they must explain.
- 3 If they still delay, the MSMED Act entitles you to compound interest at three times the bank rate, and you can file a recovery claim with the MSME facilitation council — no lawyer needed.

How to use it without angering anyone

Mention your Udyam registration (with the number) in your invoice footer and your client onboarding email: "Registered micro enterprise under Udyam — payments as per MSMED Act timelines apply." Serious buyers read it as "this supplier knows the rules", which is precisely the client you want.

Two boundaries on the lever. It covers micro and small enterprises in manufacturing or services — pure trading entities are excluded, as are medium enterprises and unregistered suppliers, which is why the registration itself is non-negotiable. And it binds your buyers, not you: as a buyer of services yourself (a designer hiring an editor, for instance), the same 45-day discipline now applies to what you owe registered micro and small vendors — pay them within the window or your own deduction slips to next year.

PART 8

Filing and the New Act

One form number decides whether your filing evening takes twenty minutes or four hours.

And from 1 April 2026, the rulebook itself changed its page numbers — only those.

CHAPTER 24

ITR-4 or ITR-3?

ITR-4 (Sugam) is the presumptive filer's form: no balance sheet, no profit-and-loss schedules, the presumptive figure and its tax. ITR-3 is the full business form: P&L, balance sheet, capital account, detailed schedules. Choose wrong and the portal rejects or the return invites queries; choose right and the filing evening is short.

Your situation	Form
Presumptive under 44AD/44ADA, total income under Rs. 50 lakh, resident, no capital gains (beyond Rs. 1.25 lakh of 112A LTCG), one house property, salary/agri income within limits, no foreign income or assets	ITR-4
Business/professional income computed on actual expenses	ITR-3
Receipts above the 44ADA limit (Rs. 50/75 lakh)	ITR-3
Any foreign income or foreign assets — including a foreign bank account used for work	ITR-3
You are a director in a company, or held unlisted shares, or deferred ESOPs	ITR-3
You have capital gains beyond ITR-4's small allowance	ITR-3

Deadlines: 31 July 2027 for FY 2026-27 returns without audit; 31 October where a tax audit applies. Budget 2026 relaxed the recovery path: a belated or revised return can now be filed up to 31 March of the assessment year for a nominal fee, instead of the old December cutoff for belated returns — but the late-filing fee under 234F (Rs. 5,000; Rs. 1,000 where total income is up to Rs. 5 lakh) and interest under 234A still run, so “possible later” is not “free later”.

Presumptive filers who also have a salaried job file ITR-4 with both heads — it handles salary plus presumptive business income in one form. If your total income crosses Rs. 50 lakh, ITR-3 takes over regardless of scheme.

CHAPTER 25

The Income-tax Act, 2025

The Income-tax Act, 1961 was replaced by the Income-tax Act, 2025 with effect from 1 April 2026. The substance freelancers care about — slabs, 44ADA's 50% rule, advance tax percentages, TDS rates and thresholds, the Rs. 50,000 194J limit — carried across unchanged. What moved are the section numbers, so you can read any guide (including government pages still referencing both) with this key:

Topic	1961 Act	2025 Act
Presumptive taxation — profession	Section 44ADA	Section 58(2), serial 3
Presumptive taxation — business	Section 44AD	Section 58(2), serial 1
Advance tax liability and computation	Sections 207-209	Sections 403-405
Instalments; single instalment rule	Section 211	Section 408
Interest — late return	Section 234A	Section 423
Interest — advance tax default	Section 234B	Section 424
Interest — instalment deferment	Section 234C	Section 425
TDS on professional/technical fees	Section 194J	Section 393
New tax regime slabs	Section 115BAC	Section 202

Practical consequence: one. Notices, challans and portal text from FY 2026-27 onwards cite the new numbers, while nearly every article and forum answer you will search cites the old ones. Print this table; it is the translation layer for a decade of accumulated freelance advice.

CHAPTER 26

Records to keep

Every rule in this book resolves to a document. Keep them for at least six years from the end of the assessment year — that is the window in which the department can generally reopen a year. The list:

Record	Frequency
Invoices, numbered series, Indian and export	Continuous
Bank statements of the business account	Monthly download
e-FIRA / FIRC for every foreign remittance	Per payment
Platform fee statements (Upwork, Payoneer, Wise, PayPal)	Monthly
Form 26AS and AIS downloads	Quarterly
Form 16A TDS certificates from each deducting client	Quarterly, as issued
LUT acknowledgement (ARN) for the financial year	Each April
GST returns filed — GSTR-1, GSTR-3B, refunds	As filed
Advance tax challans with CRN receipts	Per payment
Contracts / SOWs with clients, especially foreign	Per engagement
Udyam certificate	Once, and renewal

Structure them as one folder per financial year, subfolders per month, filenames dated. The test of the system: on any random day, can you produce the proof for one specific invoice in under a minute? If yes, you are audit-proof for all practical purposes.

PART 9

Calendars and Checklists

The law rewards boring competence. This part converts the whole book into dates, a mistake list, and one monthly half hour.

CHAPTER 27

Fifteen questions freelancers actually ask

Every question below was pulled from the places freelancers actually ask them — forums, CA waiting rooms, YouTube comments. Answers are deliberately short; the chapter that carries the detail is named in each.

- **Do I need GST if all my clients are abroad?** Not below Rs. 20 lakh of aggregate turnover — but remember exports count toward that number. Above it, registration is compulsory even though every rupee is zero-rated (Chapter 13).
- **Upwork converts to rupees and pays my Indian bank. Is it still an export?** What decides is where the payment originates and in what form it travels, evidenced by the remittance trail. Payouts routed through a platform's Indian entity in rupees generally fail the export test — check whether an e-FIRA even exists for the payout, and treat Indian-entity payments as domestic (Chapter 15).
- **My client deducted 10% TDS but my tax is near zero. Do I lose that money?** No — file the return and the excess is refunded to your bank after processing. Never filing is the only way to lose it (Chapter 12).
- **Can I use 44ADA with a day job?** Yes. Salary plus presumptive professional income sit in the same return; the 30% tax bucket from Chapter 1 then only needs to cover the freelance side.
- **Should I register a company or LLP?** Not for tax. Presumptive schemes exclude companies and LLPs; a proprietorship keeps 44ADA and the simple ITR-4. Register an entity when contracts or liability demand it, not the taxman (Chapter 5).
- **Is YouTube AdSense money taxable?** Yes — business income like any other, and an export of services for GST once registered, invoiced monthly (Chapter 17).
- **I crossed Rs. 20 lakh in November. Register now or in April?** Now — within 30 days of crossing, with liability from the crossing date (Chapter 14).
- **Can I claim my laptop twice — depreciation and the 50% presumption?** No. The 50% is deemed to cover all expenses, including capital items (Chapter 5).

- **Do I need a TAN?** No. TAN is for entities that deduct tax — that is your client's problem, not yours.
- **A client wants to pay in USDT.** Decline politely. Crypto is not a permitted settlement route for service exports under FEMA; offer Wise or a wire instead (Chapter 20).
- **What actually happens if I skip GSTR-3B?** Late fees of Rs. 50 a day, capped at Rs. 5,000 per return (Rs. 20 a day for nil filings), plus 18% annual interest on any tax due — even with zero tax, the fee clock runs (Chapter 18).
- **When do I need an audit?** Three realistic triggers: you left the presumptive scheme by declaring below 50% while above the exemption limit; your receipts crossed the 44ADA limit so you are off it entirely; or you are off-scheme with turnover past the Section 44AB thresholds (Chapter 7).
- **Is a current account mandatory?** No law says so — but a dedicated account for remittances is what keeps your export proof clean (Chapter 20).
- **Can I switch between old and new regime?** Yes, annually — except that with business income, once you opt out of the new regime with Form 10-IEA, you can return only once in your lifetime (Chapter 4).
- **Which single hour of work pays back the most?** The one that sets up the tax account and the invoice template (Chapters 1 and 2). Everything else is upkeep.

CHAPTER 28

Your FY 2026-27 compliance calendar

Dates for the financial year running April 2026 to March 2027. Where you are on the presumptive single-instalment track, most of the advance-tax rows vanish.

When	What	Applies if
Early April 2026	File fresh LUT for the new financial year before the first export invoice	GST-registered exporter
Monthly, 11th	GSTR-1 for previous month (or use QRMP quarterly + IFF by 13th)	GST-registered, monthly filers
Monthly, 20th	GSTR-3B for previous month	GST-registered, monthly filers
Each payment, same day	Move 30% to the tax account; file e-FIRA and platform statement in the FY folder	Everyone
Quarterly	Download 26AS + AIS; reconcile TDS entries against invoices	Everyone with TDS or remittances
15 June 2026	Advance tax instalment 1 — 15%	Actual computation
15 Sept 2026	Advance tax instalment 2 — 45%	Actual computation
Quarter ends (Apr/Sep/Dec/Jan half-years)	Clients file Form 26Q; collect your Form 16A certificates	TDS deducted
15 Dec 2026	Advance tax instalment 3 — 75%	Actual computation
March 2027, early	Decide the presumptive-vs-actual year definitively (opting out mid-year triggers instalment interest all year)	Everyone
By 31 March 2027	Clear dues to registered micro/small vendors — 43B(h) cutoff for your own deductions	You buy from Udyam vendors
10 March 2027	Estimate the year's tax; prepare the single instalment	Presumptive

When	What	Applies if
15 March 2027	Advance tax: instalment 4 (100%), or the single presumptive instalment	Everyone above the Rs. 10,000 threshold
31 July 2027	File ITR-4 or ITR-3 for FY 2026-27 (audit cases: 31 Oct)	Everyone

Three dates carry most of the money risk: 15 March (advance tax), 31 July (the return) and the monthly 20th (GSTR-3B). Everything else is housekeeping around them.

CHAPTER 29

The ten costliest freelancer mistakes

- 1 Assuming foreign income is automatically GST-free.** Zero-rating needs registration, an LUT filed before the invoice, and remittance proof. Otherwise it is 18% out of your pocket.
- 2 Not filing a return because no TDS was deducted.** Your AIS already shows foreign remittances. No TDS means you owe more, not less.
- 3 Confusing the Rs. 20 lakh GST limit with a tax exemption.** It is a registration trigger only — income tax applies from the first rupee above the exemption limit.
- 4 WhatsApp invoices.** No number, no SAC, GST not shown separately — so clients over-deduct TDS and accounts teams stall payments.
- 5 Defaulting to PayPal.** Roughly 5% of every invoice, compounding annually, for zero added value over a 1% rail.
- 6 Missing 15 March on presumptive.** One instalment a year, and 1% once if late by a fortnight — but a missed March that slips past 31 March starts 234B/424 at 1% a month.
- 7 Forgetting the 194J threshold changed.** It is Rs. 50,000 per client per category from April 2025 — clients under-deducting can also mean you under-provision.
- 8 Never reconciling 26AS.** Deductions your client claimed but you did not claim are your money, forfeited.
- 9 Reporting platform-net income.** Gross receipts are the pre-fee invoice value; the fee is your expense. Underreporting here distorts every threshold in this book.
- 10 Ignoring Udyam registration.** The 45-day rule is the only late-payment lever with statutory teeth — and it is free.

CHAPTER 30

The 30-minute monthly money routine

Everything in this book, as a recurring calendar block. Do it on the 1st of each month, with coffee:

- 1 Issue last month's platform invoices** (AdSense, affiliate, app stores) — five minutes with the template.
- 2 Download the bank statement;** check every expected credit arrived; chase the ones that did not.
- 3 Save every e-FIRA and platform fee statement** for the month into the FY folder.
- 4 Reconcile invoice → statement → e-FIRA** on your four-column spreadsheet.
- 5 Check the GST calendar:** was GSTR-3B filed for last month, or is QRMP quarter on track?
- 6 Glance at year-to-date gross receipts** against your thresholds: Rs. 20 lakh (GST), Rs. 50/75 lakh (44ADA).

- 7 Sweep 30% of what landed to the tax account.
- 8 Quarterly bonus (Jan/Apr/Jul/Oct): 26AS + AIS reconciliation, Form 16A collection, and a look at the advance-tax position.

That is the whole system. Two accounts, thirty percent, one spreadsheet, a LUT each April, one instalment in March, one return in July — and the freelancer's traditional tax panic quietly converted into routine.

If you are starting from zero

Here is the same system as a 90-day setup plan:

- 1 **Days 1-7:** open the tax account; set up the invoice template with numbering, SAC code and payment terms; list every client and their payment behaviour.
- 2 **Days 8-30:** classify your profession against the 44ADA list (Chapter 5 or 7); compute your current-year tax position on the Chapter 6 table; set the first advance-tax reminder.
- 3 **Days 31-60:** tally year-to-date receipts against the Rs. 20 lakh GST line; if crossed or near, start the Chapter 14 registration; register on Udyam regardless — it is free and starts the 45-day clock on slow clients.
- 4 **Days 61-90:** move every recurring payment to the cheapest rail (Chapter 19); build the monthly 30-minute routine into your calendar; download 26AS and AIS once to clear the backlog.
- 5 **Day 91 and forever:** one half-hour a month, one instalment in March, one return in July.

A closing word

This guide explains the law as it stands for FY 2026-27, verified from official sources in September 2026. It is information, not professional advice — your facts can change the answer, and a chartered accountant earns their fee exactly where the generic rules end: mixed income streams, foreign-entity clients, growth years, notices. Use this book to ask them sharp questions, and to handle the ninety percent that needs no advisor at all.

Appendix: every number that matters

The whole book on one page — every threshold, rate and date a working freelancer in India needs, verified for FY 2026-27.

Number	What it is	Where it bites
Rs. 4,00,000	Basic exemption, new regime	Income below this pays nothing
Rs. 12,00,000	Zero-tax ceiling with 87A rebate (up to Rs. 60,000)	Resident individuals, new regime
5 / 10 / 15 / 20 / 25 / 30%	New regime slabs from Rs. 4 lakh up	Above Rs. 24 lakh, the top rate
50%	Presumptive income rate, Section 44ADA	Half your receipts are income
Rs. 50 lakh	44ADA limit with more than 5% cash receipts	Above it: books and audit
Rs. 75 lakh	44ADA limit with 95% or more digital receipts	Most freelancers' limit
Rs. 10,000	Advance tax trigger, after TDS	Below it: nothing due in advance
15 Jun / 15 Sep / 15 Dec / 15 Mar	Advance tax instalments, 15/45/75/100%	Or the single 15 March rule on presumptive
1% per month	Interest under 234B/234C (now 424/425)	On shortfalls and defaults
Rs. 50,000	TDS threshold under 194J, per client per year	10% professional, 2% technical
20%	TDS rate if you do not give a PAN	Section 206AA
Rs. 20 lakh / Rs. 10 lakh	GST registration threshold, services	Rs. 10 lakh in special-category states
0%	GST on exports of services under LUT	Zero-rated, not exempt
Rs. 5 crore	QRMP eligibility, aggregate turnover	Quarterly filing
Rs. 50 a day	GSTR-3B late fee, cap Rs. 5,000	Rs. 20 a day for nil returns
18% per year	Interest on late GST payment	Runs from the due date
15 / 45 days	MSME payment windows, no agreement / with agreement	Section 43B(h) backs them
3x bank rate	Compound interest on delayed MSME dues	What a late client owes you
Rs. 50 lakh	Total income ceiling for ITR-4	Above it, ITR-3
31 July 2027	ITR due date for FY 2026-27, non-audit cases	Audit cases: 31 October
31 March	Belated/revised return window, per Budget 2026	With a fee, not instead of interest
6 years	Record-keeping window from assessment year end	Keep everything that long

Sources

Every rule, threshold and date in this guide was verified in September 2026 against primary or authoritative sources:

Income Tax Department ([incometaxindia.gov.in](https://www.incometaxindia.gov.in)) — tax rates and slabs for AY 2026-27 and AY 2027-28, TDS rates, ITR-4 (Sugam) FAQs, advance tax guidance, e-Pay Tax help pages.

Union Budget 2026-27 ([indiabudget.gov.in](https://www.indiabudget.gov.in)) — Budget speech; PIB summary of 1 February 2026: slab continuity, Income-tax Act 2025 effective 1 April 2026, revised/belated return window to 31 March.

Finance Act 2023 — Section 44ADA limits raised to Rs. 75 lakh (95% digital receipts); Section 43B(h) MSME disallowance.

Finance Act 2025 — Section 194J threshold raised from Rs. 30,000 to Rs. 50,000 (effective 1 April 2025).

Reserve Bank of India — FETERS purpose code list (Group 08 Computer & Information Services and related groups); FEMA inward remittance framework.

CGST/IGST Act and Rules — Section 2(6) IGST Act export conditions; Section 16 zero-rating; GST registration thresholds for services; LUT (RFD-11) practice on the GST portal.

MSMED Act, 2006 — Section 15 payment timelines; Section 16 delayed-payment interest; Udyam registration framework (udyamregistration.gov.in).

Income-tax Act, 2025 — section renumbering (Sections 403-408, 423-425, 393, 58) effective from tax year 2026-27.

Professional publications used for corroboration and practice detail: TaxGuru, ClearTax, Chartered Club and payment-platform compliance guides (Razorpay, Payoneer, Skydo, Cashfree, Wise) — cross-checked against the government sources above.

Digitalaikart — premium digital products, made for India. digitalkartai.shop